



INTRODUCTION TO SUSTAINABILITY

LECTURE 6

DEFINING SUSTAINABILITY MARKETING



Sustainability Marketing can be simply defined as creating, producing and delivering sustainable solutions with higher net sustainable value whilst continuously satisfying customers and other stakeholders (Charter et al., 2006)



Simply put Sustainable Marketing refers to the means that influence consumer behaviour towards more sustainable consumption



Sustainability marketing has been defined in a multiple different ways such as green marketing, ecological marketing, environmental marketing, environmental marketing

GROWING VOICE OF CONSUMERS

- Public interest in the environmental and societal issues has been rapidly increasing over the past few years.
- The **advancements in technology, unlimited access to information, and the growth of social media** has resulted in a rise in conscious consumerism globally
- We live in a **fully connected world** where conversations are happening all the time and It's no longer about just hearing what brands want to tell you as consumers keep on modifying their behaviour.



CONSCIOUS CONSUMERISM

Conscious consumerism refers to consumers becoming more conscious when it comes to purchasing decisions and the organizations they engage with, enabled by the connected world we live in.

Consumers are **more aware of the issues and more mindful of their actions**, and thus behaviours are changing. People are reviewing their values, spending habits, frequency of purchase, what they eat, and what they wear.



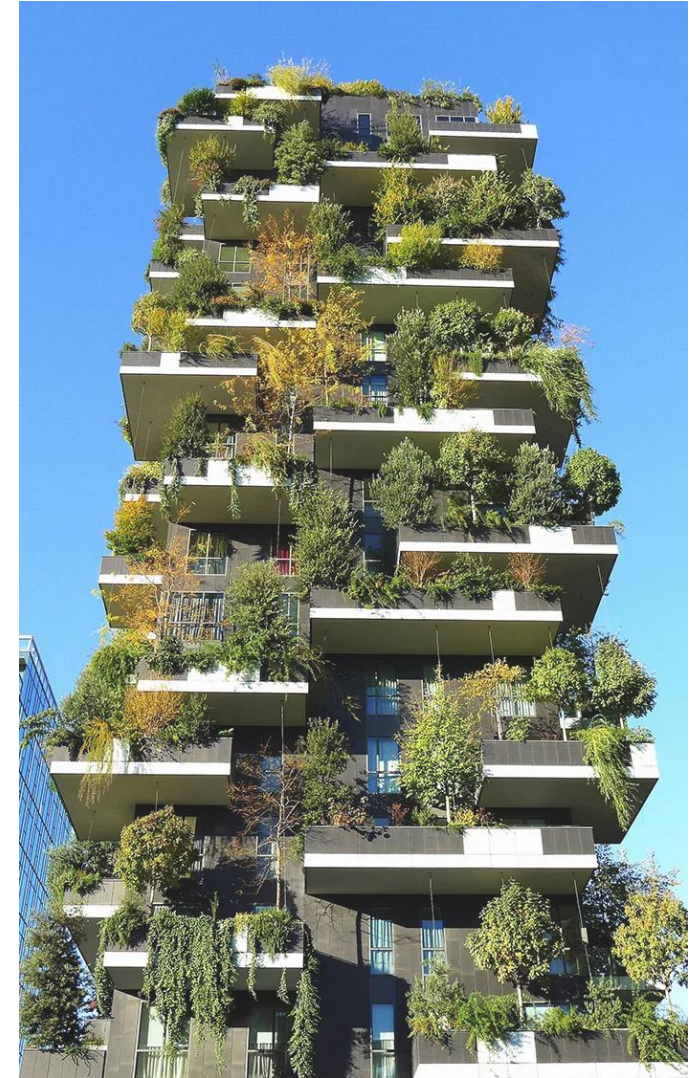
THE ROLE OF BUSINESS IN DRIVING SUSTAINABLE CONSUMERISM

Business approaches to sustainable consumption can be grouped into three broad categories:

Innovation – Development of new and improved products, services and business that maximize societal value and minimize environmental cost

Choice influencing – Use of marketing and awareness-raising campaigns to enable and encourage consumers to choose and use products more efficiently and sustainably

Choice editing – The removal of “unsustainable” products and services from the marketplace in partnership with other actors in society



MARKET DEVELOPMENT APPROACH IN SUSTAINABILITY MARKETING

A sustainability consumerism approach means that firms will aim to meet the needs of consumers with relevant pro-environmental or responsible offers, often by highlighting their firm's sustainability based on certain criteria

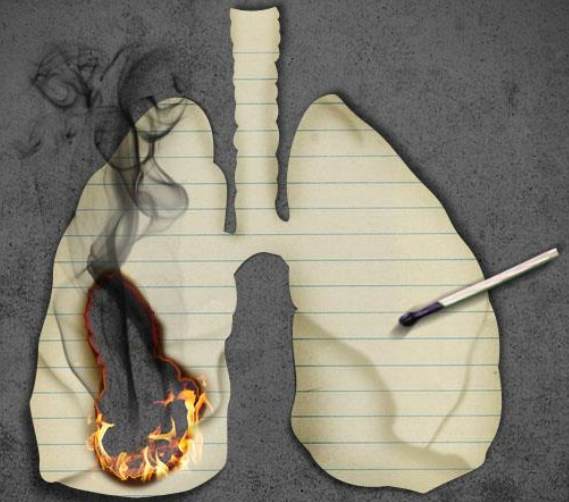
However, sustainability messages that appear **overly moralising** are off-putting to consumers. **Messages based on fear**, including campaigns highlighting potential consequences of climate change, have been shown to be less effective than other types of messages, since consumers cannot relate to those messages personally, and they find it difficult to envisage future scenarios



MARKET DEVELOPMENT APPROACH IN SUSTAINABILITY MARKETING

Direct sustainability messages which compel consumers to change their behaviour may backfire, since assertive messages are counterproductive when they are seen as an infringement of the consumer's freedom of choice

Smoking causes heart disease,
stroke, lung disease, osteoporosis,
cataracts, tooth loss, bleeding
gums/lips, other airway infections



PRODUCT DEVELOPMENT APPROACH IN SUSTAINABILITY MARKETING

Product Development approach considers how marketers have a responsibility to design products that are more sustainable, but that are sold to consumers based on other decision-making attributes

This approach moves away from a segmentation approach and focuses on establishing opportunities for all consumers to behave in a more sustainable way, irrespective of their attitudes. Mainstreaming **sustainability is achieved by normalizing the purchase of more sustainable products**



PRODUCT DEVELOPMENT APPROACH IN SUSTAINABILITY MARKETING

The effort here is placed on product design and it differs from the sustainability consumerism, or market-led approach because it plays down sustainability benefits and emphasizes personal benefits to the consumer instead.

0% Waste*
100% Way to go

*We are working on a new bottle that is totally biodegradable and made from wood fiber. Probably the way to go.



ACTIONS FOR SUSTAINABILITY

1. Earn consumers' confidence through transparency and traceability

- Consumers' brand loyalty and purchasing decisions are highly dependent on detailed product information. Companies can employ the latest technologies to provide transparency of production methods and traceability of source materials. Companies must therefore, demonstrate their sustainability commitments and environmental responsibility by offering details about their overall operations.



ACTIONS FOR SUSTAINABILITY

2. Factor in consumers' willingness to contribute to the cause

- If consumers are willing to pay a premium or change behavior to reduce environmental impact, then offer options that provide trade-offs between supply chain cost, service, and environmental impact.



ACTIONS FOR SUSTAINABILITY

3. Leverage sustainability as a driver for end-to-end operations

- The supply chain is a highly complex network of entities. Raw material suppliers, manufacturers, third-party logistics providers, and retailers all struggle to operate as one due to conflicting business goals and operating models. Businesses can therefore examine capabilities and adjust investments to create new inter-company partnerships focused on environmental impact and social responsibility.



ACTIONS FOR SUSTAINABILITY

4. Align sustainability initiatives to your company's core competency

– Brands and retailers need to know which specific traits rank highly so they can factor that valuable information into product design and development. Circular economy is a classic strategy that most brands can adopt in order to accomplish this strategy.



WORKING WITH NGO'S

Existing research suggest that Non-Governmental organizations (NGOs), such as World Wildlife Fund (WWF) and Greenpeace, are amongst some of the most trusted institutions globally.

Business leaders should therefore see to structure collaborative relationships with recognized NGO's by aligning their economic/ strategic objectives to their sustainability initiatives.

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PAYING A PREMIUM FOR SUSTAINABLE PRODUCTS

- Nielsen asked 30,000 survey respondents in 60 countries across the globe whether they are willing to pay a premium for sustainable products and **66%** of global respondents say they are willing to pay more for sustainable goods (up from 55% in 2014 and 50% in 2013).
- It's no longer just wealthy suburbanites in major markets willing to open their wallets for sustainable offerings. Consumers across regions, income levels, and categories are willing to pay more if doing so ensures they remain loyal to their values



GREEN GAP



Green Gap refers to the gap between a consumer's pro-environmental attitudes and green purchase behavior (Gupta & Opten, 2009).



Poor perceptions of quality, lack of green product availability and brand loyalty to conventional products appear to be important issues leading to green gap (Gleim & Lawson, 2014).



Consumers need to understand why green products are priced higher, the benefits they offer and the impact they can make as an individual (Gleim & Lawson, 2014).

GREENWASHING

Greenwashing is defined as intentionally misleading or deceiving consumers with false claims about a firm's environmental practices and impact (TerraChoice 2010).

A classic greenwashing tactic involves either a company advertising a product with environmental achievements that are already mandated by existing laws, or a company doesn't change their behavior, but just markets themselves as being green.



SUSTAINABILITY MARKETING AND SDG'S

Aligning an organization's Sustainability goals with wider global sustainable goals not only makes sense from the point of giving the organization the right direction, but also provides a practical framework to determine areas of focus and priority

A research conducted by PwC found that 71 per cent of businesses planned to develop measures to meet the SDGs, and that **78 per cent** of consumers stated that they would be more likely to make a purchase of goods or services from organizations that have formally committed to the SDG.

